# Workforce Collapse Risk & Profit Leakage

A full-spectrum people analytics case study across 1,000 employees — uncovering hidden attrition risk, compensation misalignment, burnout drivers, and actionable strategic interventions.

1,000 EMPLOYEES · 7 SHEETS · 56 VARIABLES · FULL ANALYSIS

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Dataset Foundation

# 7-Sheet Architecture: What We Measured

The analysis draws on **56 variables** across seven integrated data sheets — spanning demographics, compensation, performance, engagement, attrition risk, business impact, and external market signals.

### Employee Data

15 Variables

Demographics, role, band, tenure, remote work

### Compensation

8 Variables

Salary, bonus, market ratio, pay satisfaction

### Performance Data

8 Variables

KPI scores, manager/peer ratings, promotions

### Engagement & Behavior

10 Variables

Engagement, burnout, eNPS, training hours

### Attrition Risk

8 Variables

Risk scores, exit reasons, replacement time

### Business Impact

7 Variables

Revenue, cost, profit, billable hours per employee

### External Market

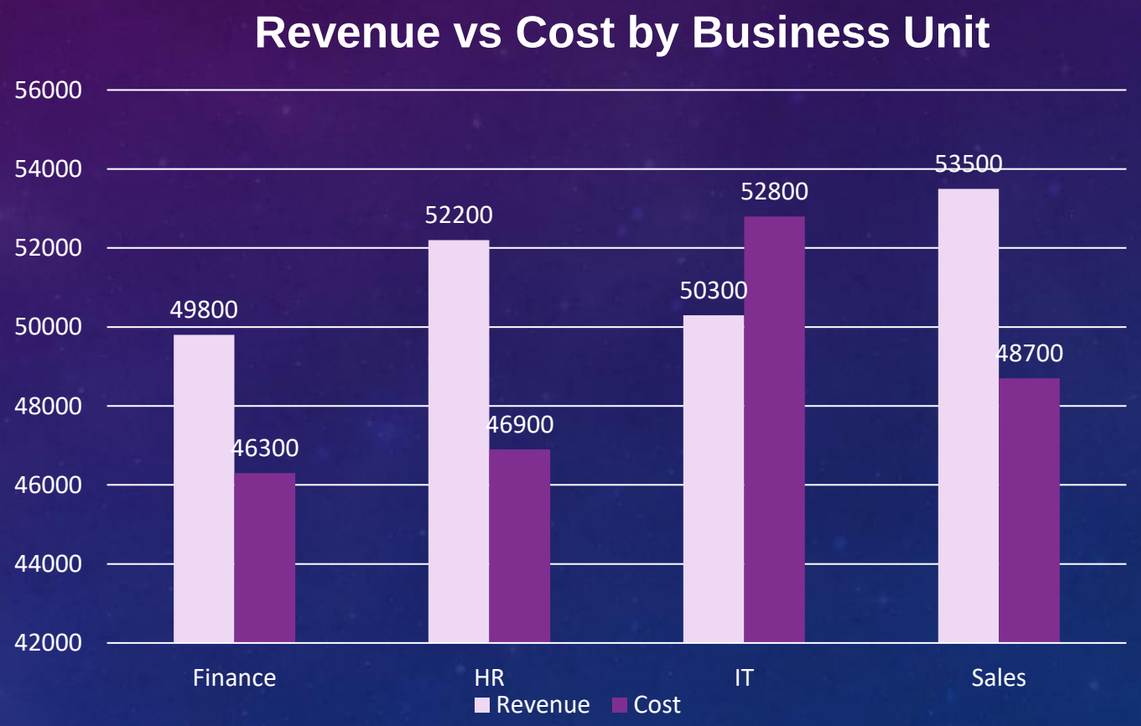
6 Variables

Market salary, automation risk, skill scarcity

# Profit Leakage - Where Are We Losing Money?

Across all four business units, **IT carries the highest cost yet generates the lowest profit margin** — a direct signal that cost restructuring is urgently needed.

⚠ Key Finding: IT unit has the HIGHEST cost yet LOWEST profit — immediate cost restructuring is needed.




### Sales BU

₹52,800 — Highest Profit BU

### IT BU

₹49,500 — Lowest Profit, Highest Cost

### HR BU

Risk Score 52.4 — Highest Attrition Risk

# Silent Attrition Risks - Flight Risk Analysis

## LOW RISK

**33.1%**

**331 Employees**

Risk Score < 30
Stable employees

## MEDIUM RISK

**39.0%**

**390 Employees**

Risk Score 30–70
Monitor closely

## HIGH RISK

**27.9%**

**279 Employees**

Risk Score > 70
Immediate action

## FLIGHT RISK KEY STATS

**52 days**

Avg Replacement Time

**52 days**

Avg Notice Period

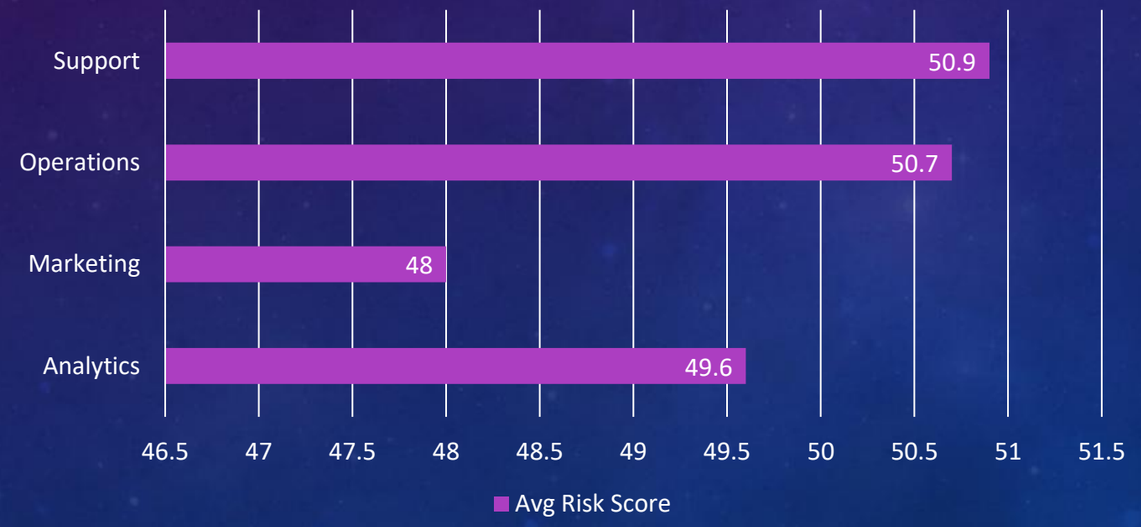
**₹2.7K+**

Financial Exposure per High-Risk EE

**Support**

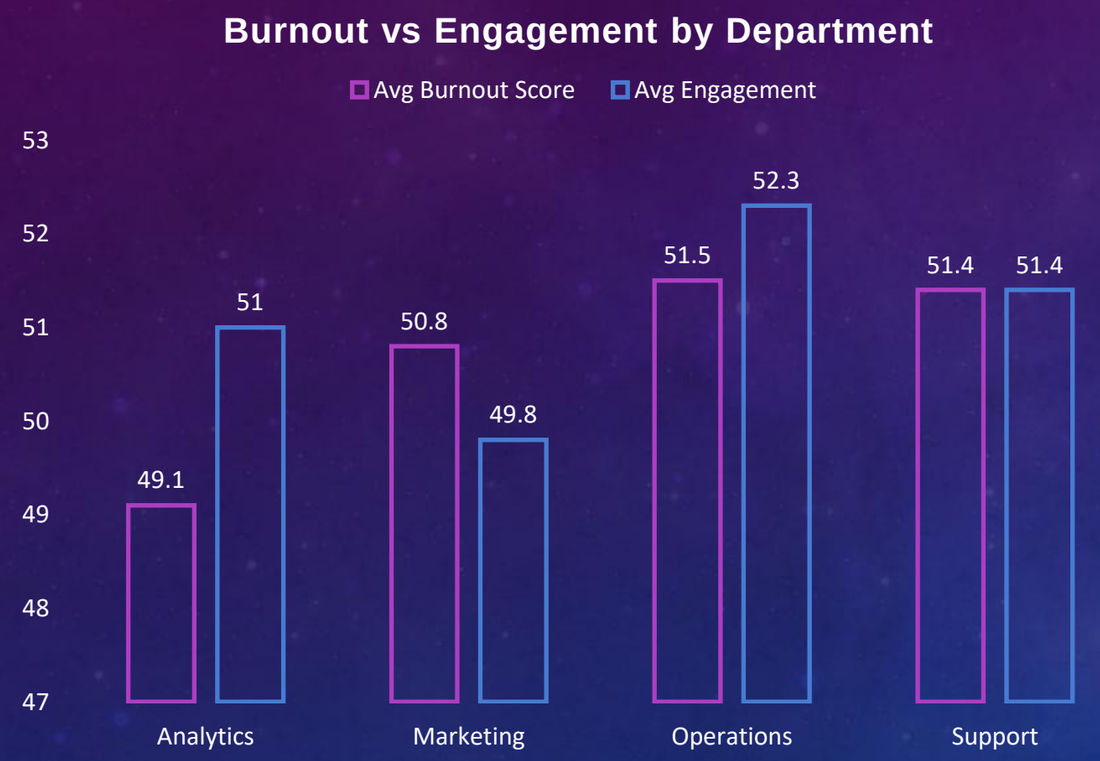
Highest Risk Department

## Avg Risk Score by Department




*ACTION:* ***Immediate 1:1 retention conversations for top 25 flight-risk employees***

# Burnout & Engagement Analysis




**29.2% Critically Burned Out**

Score >70 — Needs immediate intervention

**37.6% Dangerously Disengaged**

Engagement Score <40 — At-risk population

**50.7 Avg Burnout Index**

Organization-wide — elevated across all units

Key Drivers: Overwork (>50 hrs/week), high remote concentration, low manager feedback quality, and contract employment status all correlate with elevated burnout.

Recommendation: **Workload audit + mandatory mental health days + hybrid work optimization** across Operations and Support departments.

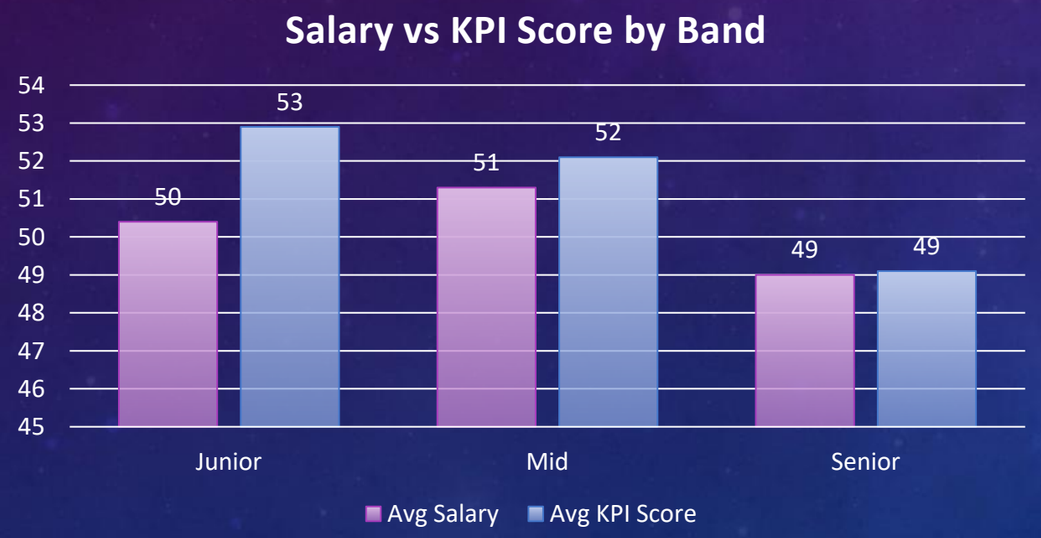
# Pay vs performance - is compensation aligned?

## SALARY-KPI CORRELATION

**r = 0.011**

Near-ZERO correlation!
Pay NOT linked to performance

| Band | Headcount | Avg Salary | Avg KPI | Pay:KPI Ratio | Mkt Ratio | Underpaid | Flag |
|---|---|---|---|---|---|---|---|
| Junior | 382 | 50.4 | 52.9 | 0.95 | 51.0 | 176 | ✅ Aligned |
| Mid | 320 | 51.3 | 52.1 | 0.98 | 45.8 | 134 | 🟡 Review |
| Senior | 298 | 49.0 | 49.1 | 1.00 | 51.4 | 76 | 🟡 Review |




## PAY EQUITY FINDINGS

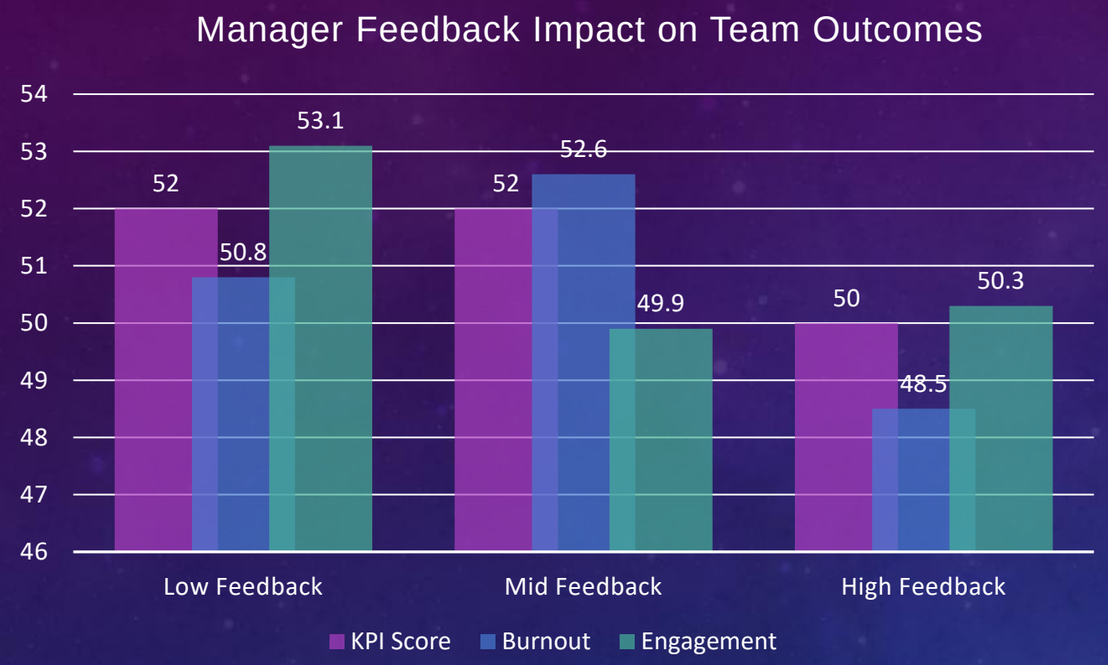
**386** Employees Underpaid vs Market (Market Ratio < 40)

**38.6%** Workforce Below Market Competitiveness

**0.008** Salary-Promotion Correlation (Effectively Random!)

*Recommendation: **Redesign compensation bands with performance multipliers + market salary benchmarking***

# Manager Effectiveness & DEI Hidden Risks




High Manager Feedback reduces Burnout from 52.6 → 48.5 — a meaningful 4.1-point improvement. Manager quality is a direct retention lever.

## DEI Analysis — Gender Pay & Performance Gap

### Avg Salary: +1.5% Male/Female Gap

Despite near pay parity, female employees carry a higher attrition risk (+2.0 pts higher risk score)

### KPI Score: Female +1.4 pts higher

Female employees outperform on KPI — yet face systemic barriers not captured in salary data alone

### Burnout: Female +0.5 pts higher

Requires qualitative follow-up — structural workload and promotion equity under review

Actions: Manager 360° feedback program | Gender burnout investigation | Full DEI audit

# External Market & Automation Risk

**298**

**Automation-Risk Employees**

High automation risk (>70) — reskilling is critical

**29.8%**

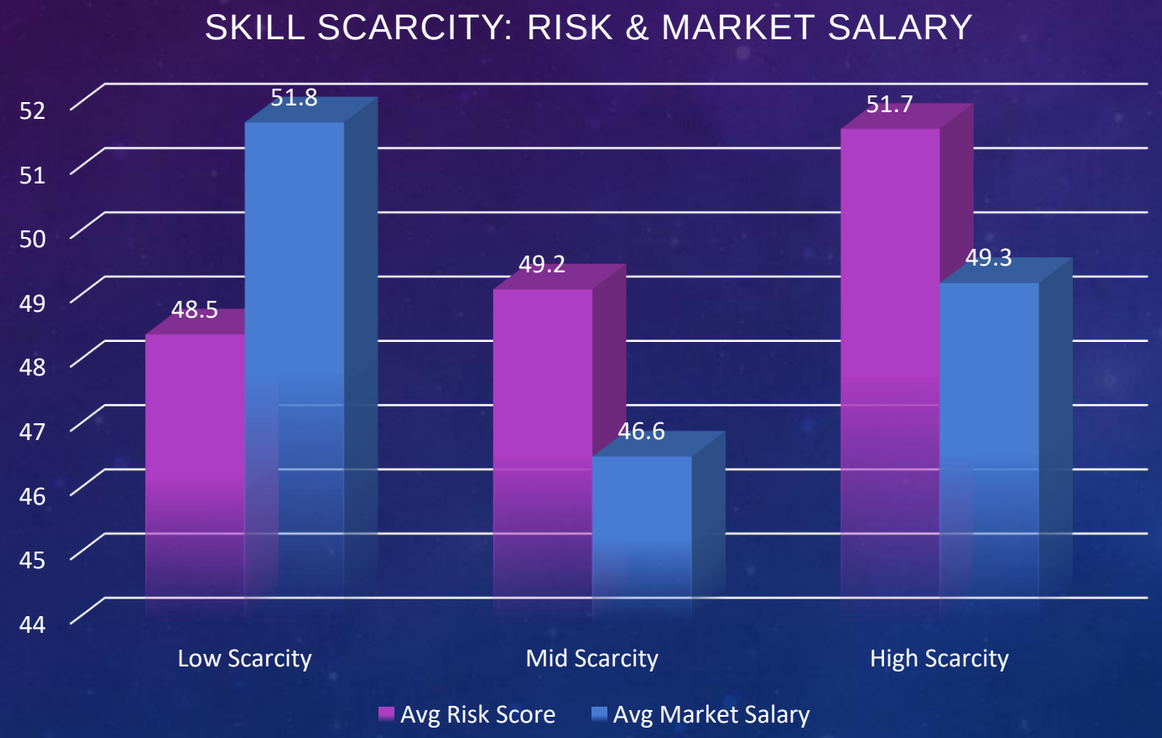
**Workforce Displacement Risk**

Facing likely future role disruption within 3–5 years

**39.4%**

**High Skill Scarcity**

Employees in roles where market premium may apply




**Strategic Response**

- Build AI Readiness Reskilling Program for the 298 high-automation-risk employees
- Launch Internal Talent Marketplace to retain scarce-skill employees internally
- Competitive salary review for High Scarcity roles — market premium may be warranted
- University partnership pipeline for future critical skill roles (Data, AI, Engineering)

Long-term goal: Future-proof 300 roles with reskilling over 90–180 days.

# Strategic Actions - Priority Matrix

CRITICAL (0–30 days)

**Attrition Intervention** – 1:1 retention + comp review for top 25 high-risk employees. Owner: HR + Line Mgrs. Target: Reduce attrition 15–20%.

CRITICAL (0–30 days)

**Burnout Emergency Protocol** – Work hour audits, mental health days, workload redistribution in Ops & Support. Owner: CHRO. Target: Productivity +12%.

HIGH (30–60 days)

**Profit Protection – Sales BU** — Retain top Sales performers via fast-track career pathing. Owner: Sales Head + HR. Goal: Protect revenue at risk.

HIGH (30–60 days)

**Engagement Revival Campaign** — Quarterly pulse surveys + manager accountability scorecard + eNPS tracking. Target: Lift engagement +10 pts.

MEDIUM (60–90 days)

**Pay Equity Redesign** — Merit-linked compensation bands + market benchmarking + performance multipliers. Target: Pay satisfaction +20%.

MEDIUM (60–90 days)

**Manager Excellence Program** — 360° feedback + manager training on retention & coaching. Target: Team attrition risk -10%.

LONG-TERM (90–180 days)

**Reskilling & Future-Proofing** — AI readiness program for 298 automation-risk employees + internal talent marketplace. Goal: Future-proof 300 roles.

LONG-TERM (90–180 days)

**DEI Deep Audit** — Gender burnout investigation + flexible work policy + equitable promotion framework. Owner: DEI Council + HR.

# APPENDIX | STATISTICAL MODEL HIGHLIGHTS

| Metric | Mean | Median | Std Dev | Min | Max | Interpretation |
|---|---|---|---|---|---|---|
| **Base Salary** | 50.3 | 51 | 28.8 | 1 | 100 | Review outliers for pay equity |
| **KPI Score** | 51.3 | 51 | 28.7 | 1 | 100 | Wide variance — performance gaps exist |
| **Burnout Index** | 50.7 | 51 | 29.0 | 1 | 100 | 29.2% critically burned (>70) |
| **Attrition Risk** | 49.8 | 50 | 29.1 | 1 | 100 | 27.9% high risk — act immediately |
| **Engagement** | 51.1 | 51 | 28.7 | 1 | 100 | 37.6% dangerously disengaged |
| **Profit/Employee** | 50.7 | 52 | 28.4 | 1 | 100 | Uneven distribution by BU |
| **Manager Feedback** | 50.8 | 51 | 29.5 | 1 | 100 | High variance — mgr quality inconsistent |
| **Training Hours** | 50.6 | 51 | 29.0 | 1 | 100 | Low differentiation needed |

| Key Correlation Findings | |
|---|---|
| **r = 0.011** | **Salary ↔ KPI Score**<br>Near Zero |
| **r = 0.008** | **Salary ↔ Promotion**<br>Near Zero |
| **r = -0.04** | **Burnout ↔ KPI Score**<br>Weak Negative |
| **r = -0.06** | **Burnout ↔ Training Hrs**<br>Weak Negative |
| **r = 0.05** | **Profit ↔ Base Salary**<br>Weak Positive |
| **r = 0.02** | **Engagement ↔ Market Ratio**<br>Near Zero |

The Verdict

# Workforce at Crossroads. Act Now or Pay Later.

**279 High-Risk Employees**

Need immediate retention action — flight risk is real and measurable

**29.2% Critical Burnout Rate**

Actively affecting productivity across all business units

**r = 0.011 Pay–Performance**

Compensation alignment is effectively broken — requires immediate redesign

**37.6% Dangerously Disengaged**

Over one-third of the workforce is disengaged today — a structural risk

**10 Strategic Interventions Identified · 3 Priority Levels · Clear Owners & Timelines Defined**

The data doesn't lie. The organization must move from analysis to decisive action — before talent and profit losses compound further.

# Thank You